

HEDGEYE DAILY DIGEST

Friday, September 18, 2026 (GMT+8)

Covering the Hedgeye publishing sessions of Thursday 17 September and Wednesday 16 September 2026 (EDT). For a GMT+8 reader, the 17 Sep US session lands on your Friday 18 September morning.

The whole Hedgeye book now hangs on one number: **SPX 7,501**. Keith McCullough spent Thursday arguing that the S&P's intermediate-term **TREND** support is sitting exactly on the low end of the Risk Range, after **seven down days in eight** drove SPX implied volatility to a **+116% premium** over 30-day realized. The macro frame behind it is unchanged and getting louder — a **Fed tightening into a slowdown**, with the Inflation Nowcast pushing **3.61%** (+21bps) while Q3's **~4%** growth marks the sequential peak. Positioning has quietly rotated: five shorts covered into weakness, Energy and Software bought on sale, **Meta flipped from short to long**, the **Canadian Dollar exited entirely**, and Bitcoin and Ethereum added.

TODAY'S PUBLICATIONS

EARLY LOOK — “Will SPY Hold TREND?”

Early Look · Keith McCullough · 09/17/26 07:31 AM EDT

McCullough opens with Andy Reid's laminated play sheet as the metaphor for process mastery — his own version being the **TRADE/TREND Risk Range Signal Sheet**, updated at **4:35 AM** every morning before the open. The point is not the analogy but the discipline: every portfolio decision is rules-based, set before the market opens, and executed without improvisation.

The substantive call is the S&P. **SPX immediate-term TRADE Signal = 7,651; intermediate-term TREND Signal = 7,501; Risk Range = 7,501–7,649**. SPX continues to print a series of lower-highs against its all-time closing high of **7,798**, TRADE momentum has been bearish (not new), and TREND support now sits precisely at the low end of the Risk Range — what McCullough calls “the goal line.”

When a TREND test is in motion, prior winners come under selling pressure. Thursday's examples were the two strongest recent US sector styles: **Energy (XLE)** and **Software (IGV)**, both of which he **bought more of on red** because both held their signals. The rules that follow are explicit: break immediate-term TRADE support (as **OIH** did) and he sells some; break **both TRADE and TREND** and he is stopped out entirely.

On broad US equity beta risk, three reminders: **Russell 2000 (IWM)** has already broken both TRADE and TREND — hence the short; after **SPY down 7 of the last 8 days**, more people will panic; and SPX implied vol went out at a **+116% premium** to 30-day realized. His conclusion is that panic-buying puts after chasing stocks on green is standard retail and consensus hedge-fund behaviour, and the rally — if it comes — is most likely **after** the selloff toward the low end of the range, **after** the panic hedging, and **after** TREND support holds.

The “Alpha Codes” he gives the Hedgeye Asset Management PMs (TRADE first, then TREND):

Asset	TRADE	TREND
SPX	7,651	7,501
IWM	295	291
QQQ	721	705

Asset	TRADE	TREND
Oil (WTI)	91	87
UST 10yr	4.74%	4.56%
UST 2yr	4.37%	4.18%

RISK RANGE™ SIGNALS — 17 SEPTEMBER 2026

From the Early Look · 09/17/26

Asset	Low	High	TREND
10-Year U.S. Treasury Yield (UST10Y)	4.80	5.12	Bullish
High Yield (HYG)	78.06	78.92	Bearish
Investment Grade Corporates (LQD)	103.5	105.3	Bearish
S&P 500 (SPX)	7,501	7,649	Neutral
NASDAQ Composite (COMPQ)	25,767	26,268	Neutral
Russell 2000 (RUT)	2,823	2,940	Bearish
Health Care (XLV)	162	173	Bullish
Software (IGV)	99	109	Bullish
Oil Services (OIH)	394	430	Neutral
Volatility Index (VIX)	15.82	20.06	Bullish
U.S. Dollar Index (USD)	99.35	100.51	Bullish
Crude Oil (WTIC)	92.17	108.61	Bullish
Natural Gas (NATGAS)	2.70	2.99	Neutral
Gold Spot (GOLD)	4,243	4,439	Neutral
Copper Spot (COPPER)	6.25	6.65	Bullish
Silver Spot (SILVER)	61	65	Bearish

KM'S TOP 3 THINGS — 17 SEPTEMBER

The Macro Show · 09/17/26 08:30 AM EDT

Rates. No change to either the Fed Front-Runner (**UST 2yr**) or the long end, with **2s and 10s signalling higher-cycle-highs at 4.84% and 5.12%** respectively. The yield-curve call is for further flattening — **10s minus 2s crushed to just +28bps** — as Wall Street accepts that the best of **#Quad2** US growth is behind it and the Fed is tightening into a slowdown. Only tourists, he notes, were “surprised” that **Warsh** repeated what the trending data and bond-market signals had been saying for a month.

Small Caps. Another good day for the US index hedge: **Russell 2000 (IWM)** made fresh **three-month lows**, sits in a **-6.8% drawdown** from its all-time high, and remains Bearish TRADE and TREND — alongside sector styles he intends to short more of on bounces, including **Industrials (XLI)** and **Utilities (XLU)**.

SPY. “The plunge protection team looked busy overnight.” SPX was already signalling **Bearish TRADE (7,651 resistance)**, with **negative gamma** (Tier 1 Alpha flip line at **7,622**) and **TREND support of 7,501** in play into the close. The offsetting good news for bulls: epic panic SPX put buying into the close producing that **+116% implied vol premium**.

THE MACRO SHOW — SUMMARY NOTES, THURSDAY 17 SEPTEMBER

The Macro Show · 09/17/26 11:05 AM EDT

Bullish mentions: MSFT, AAPL, META, XLV, IGV, XLE, BTC, ETHA, Corn. **Bearish mentions:** TLT, IWM, XLI, XLU, EWL, AMZN, GOOGL, TSLA.

Fed tightening into slowing growth. McCullough reiterated that falling long-end yields should not be read as automatically bullish equities. US growth is approaching a **sequential peak after roughly 4% Q3 growth** while the Fed stays hawkish — the definition of tightening into a slowdown. The expected consequence is further curve flattening and inversion, with signals pointing to higher-cycle-highs of **4.84% (2yr)** and **5.12% (10yr)**. **No change to the TLT short.** The weakening curve also pressures financials, prompting a call for more bank shorts including **Citigroup** and **Goldman Sachs**.

Shorts reduced, not abandoned. Five shorts were covered for gains as prices reached the low end of their Risk Ranges and signals moved toward zero short exposure intraday — described as fading panic rather than abandoning the macro position. **Microsoft was bought** during that process. All five covered shorts can be re-established if the market bounces and fails at resistance.

SPX tactical setup. The levels in play: **7,651 signal resistance, 7,622 gamma flip, 7,501 TREND support**. Negative gamma cuts both ways — downside accelerates downside, but a bounce generates additional upside. The conditional signal: if **VIX falls below roughly 16.56 TREND**, SPX could rally through the **7,649–7,651** zone and potentially return to Bullish TRADE.

Long book. Health Care is the largest current long allocation, followed by **Software**. **Energy (XLE)** was bought on the prior day's near-**3%** decline — his first purchase in the position, with appetite for more. The broader strategy is to rotate away from the cyclicals that benefited from accelerating growth (Industrials, consumer cyclicals, Financials), framing the **July Quad 4 transition** as the beginning of the end of the prior cyclical momentum.

Currency and crypto. The remaining **Canadian Dollar position was exited completely**, with proceeds partly redeployed into **Bitcoin and Ethereum**.

Cash and bond vol. The long-only account has been cut from roughly **30 positions to 20**, leaving substantial cash. Bond-market volatility is flagged as a potential opportunity, with the **MOVE Index** still above its TREND threshold.

International. South Korea Bearish TRADE; **Japan and China** Bearish TRADE and TREND; **Switzerland** remains short, with more European shorts being sought.

Commodities. Gold bounced with falling yields but is not yet a confirmed bullish position — **TRADE 4,334, TREND 4,251**. **Copper** moved back to Bullish TREND, marginally. **Barley and corn** are explicit longs, with barley's rise cited as further evidence of commodity inflation pressure.

Inflation Nowcast. Now around **3.61%**, a **+21 basis point** update, with **four of the next five months** carrying accelerating inflation characteristics. That sequence makes a dovish December pivot difficult and keeps the tightening-into-a-slowdown tension alive.

Mag 7 positioning. Long **MSFT** (bought into the close/open) and **AAPL** (very strong signal). **META reversed from a prior Bearish TREND short to a long**. Short **AMZN** (an extremely consensus hedge-fund long), **GOOGL** (a former top long idea now on the short side), and **TSLA**. **NVDA** is neither a preferred long nor short — he would rather be long Software than Semiconductors.

CAPITAL ALLOCATION PRO — MODEL PORTFOLIO CHANGES, EFFECTIVE 9/17/2026

Capital Allocation Pro · Andrew Nanai & David Salem · 09/17/26 01:17 PM EDT

Changes to the Hedgeye Model Portfolios took effect using **closing prices on Thursday, 17 September 2026**. The detailed change table is published as an image and linked document within the note rather than as extractable text.

Supporting materials referenced: a **Key Callouts video recorded 10 September**, the **September 2026 Monthly Commentary** posted **2 September**, and **Trend and Tail levels for all 68 ETFs** refreshed using closing prices from **Friday, 28 August**. The team also maintains a subscriber FAQ on model portfolio construction and a mapping of current ETF holdings to **UCITS-compliant alternatives** for European investors.

ETF PRO PLUS — 6 NEW CHANGES

ETF Pro Plus · 09/17/26 11:25 AM EDT

Adding Long: Interest Rate Hedge (PFI).

Adding Short: Semiconductors (SMH), Space (UFO), Quantum Tech (QTUM).

Removing Long: Oil Services (OIH, range 400.0–438.0) and US Free Cash Flow (VFLO, range 52.51–56.47).

The short adds in semis, space and quantum are the clearest expression of the AI-complex de-rating theme; the PFI add lines up with the higher-cycle-highs call on yields.

SIGNAL STRENGTH STOCKS — 38 STOCKS

Signal Strength Stocks · 09/17/26 11:51 AM EDT

Added: RSG. **Removed:** V, CACC, WFC, GPN, VLTO.

The list contracted from **42 to 38** names in a single session, with two financials (WFC, CACC) and two payments names (V, GPN) dropping out — consistent with the curve-flattening pressure on financials flagged on the Macro Show.

MOMO TRACKER — MAG7 (-0.1%), HIGH BETA MO (+3.3%)

Momentum Stock Tracker · Christian Drake & Ryan Ricci · 09/17/26 07:42 AM EDT

The tracker's data tables render as dashboard graphics rather than extractable text, so this summary rests on the headline and framing.

Mag7 was roughly flat at -0.1% while **High Beta Momentum rallied +3.3%** — a notable divergence in which the speculative tail outperformed the mega-cap core. The note flags **negative gamma** and **deferred volatility** as the structural conditions, and poses the same question as the Early Look: will SPX hold TREND?

CRYPTO QUANT — BTC (+0.2%)

Bitcoin Trend Tracker · Christian Drake, Josh Steiner & Matthew Cooper · 09/17/26 06:58 AM EDT

Content is delivered as dashboard graphics. From the headline: **BTC +0.2%** overnight, **AVAX = BULLISH**, while **COIN, MARA, BLOK and CRCL are all BEARISH** — the equity and miner complex signalling considerably weaker than the underlying asset.

On the regulatory front, the **SEC** is signalling it will proceed “**with or without legislation.**” Context: Hedgeye added Bitcoin and Ethereum to the allocation this same session.

YESTERDAY'S PUBLICATIONS

EARLY LOOK — “Signals: How To Not Die In Markets”

Early Look · Keith McCullough · 09/16/26 07:33 AM EDT

What: A risk-management polemic framed around Taylor Sheridan's *How To Not Die In Prison*, arguing that while the broad US market is not crashing, significant parts of it already are.

Why: Two major drawdowns are underway — **US Treasuries** and crowded retail-owned factor exposures — even as index-level damage stays contained. The message is to avoid bag-holding long-duration bonds and consensus retail positioning.

Who: Keith McCullough; references to **TLT**, the **High Retail Investor Sentiment basket**, and the **3x Semis Bull ETF (SOXL)**.

Key numbers: The High Retail Investor Sentiment basket fell another **-2.0%** in the session and has swung from **+23% to -3% YTD** — a **26-point reversal** since its **28 May 2026** peak. **SOXL fell -17% on Monday on over 101 million shares** traded. Risk Ranges that day: **SPX 7,521–7,747 (bullish)**, **UST10Y 4.77–5.09% (bullish)**, **VIX 14.89–18.78 (bullish)**, **Gold 4,241–4,453 (bullish)**, **RUT 2,847–2,947 (bearish)**.

Takeaway: Leverage and crowding are where the damage is concentrated. Note that SPX was still **Bullish** on the 16th and had moved to **Neutral** by the 17th — the **TREND** deterioration is one day old.

KM'S TOP 3 THINGS — 16 SEPTEMBER

The Macro Show · 09/16/26 08:30 AM EDT

What: Fed decision day commentary on rates, country positioning and volatility.

Why: Markets had been front-running the hike for weeks; the Fed Front-Runner signal (**UST 2yr**) was already breaking out to higher-cycle-highs.

Who: Qatar, India, Australia, Switzerland (shorts); Colombia, Brazil (longs).

Key numbers: Top of Risk Range at **4.75% for 2s** and **5.09% for 10s**. **Qatar down another -1.5%** overnight. **VIX TREND level 16.55** — closed above it after panic SPY put buying took 10-day calendar vol from **12 to 20**.

Takeaway: Yields will eventually signal lower highs because the Fed is making a policy mistake, but that signal had not arrived. Meanwhile the real opportunity set was outside the US, in a growing long/short country book.

THE MACRO SHOW — SUMMARY NOTES, WEDNESDAY 16 SEPTEMBER

The Macro Show · 09/16/26 10:13 AM EDT

What: Full show notes covering rates, global equities, the volatility regime, mega-cap tech and commodities.

Why: Short bonds remains the core position because the inflation model shows inflation still accelerating; the strategy is to short bonds on bounces and stay short bond proxies such as **utilities**, in anticipation of upside CPI surprises through Q4.

Who: Long **Colombia (COLO)**, **Brazil (EWZ)**, **Spain (EWP)**, Gold, **META**, **MSFT**. Short US Treasuries, **XLU**, **QATAR**, **INDA**, **EWA**, **EWL**, **IWM**.

Key numbers: **Qatar down roughly 16%** from the original short setup. Russell short **trimmed by ~25 basis points** at three-month lows. **VIX** closed above the **16.55** TREND level with implied vs 30-day realized surging to **84%**; a move above roughly **19** would mark the shift into a genuine “Chop” volatility regime. **Gold** back to Bullish TREND but held at minimum size until it reclaims **4,361**. Quarterly inflation Nowcast seen moving toward **~3.67%**. US net wealth rose roughly **\$9 trillion** in Q2.

Takeaway: The sequencing matters more than the level — inflation higher first, then potentially **cut roughly in half by mid-2027**, leaving the Fed tightening into a peak. Notable position developments: **Brazil re-added long**, **long Spain vs short Switzerland**, Russell short trimmed, Gold back to Bullish TREND at minimum size, and the **Canadian Dollar long flagged as at risk** after breaking trend — which it was exited on, the following day.

ETF PRO PLUS — 3 NEW CHANGES

ETF Pro Plus · 09/16/26 10:37 AM EDT

What: Adding Long: Energy Sector (**XLE**) and Ethereum (**ETHA**). **Removing Long:** Canadian Dollar (**FXC**, range 70.02–71.01).

Takeaway: This is the ETF-level record of the same three decisions discussed on the shows — the Energy add, the crypto add, and the CAD exit.

SIGNAL STRENGTH STOCKS — 42 STOCKS

Signal Strength Stocks · 09/16/26 12:02 PM EDT

Added: **FSLY**, **PM**, **DDOG**, **MDB**, **PANW**, **VLTO**. Removed: 5 names.

Takeaway: Four of the six adds (**FSLY**, **DDOG**, **MDB**, **PANW**) are software — direct confirmation of the Software-over-Semiconductors preference. Note **VLTO** was added on the 16th and removed on the 17th.

MOMO TRACKER — MAG7 (-0.65%), NFLX = BEARISH

Momentum Stock Tracker · 09/16/26 08:30 AM EDT

Mag7 down -0.65%, with **Netflix turning BEARISH**. Themes flagged: **VIX**, short-dated volatility and systematic sensitivity — the same vol-regime question the Macro Show was debating that morning.

CRYPTO QUANT — BTC (+0.0%)

Bitcoin Trend Tracker · 09/16/26 07:13 AM EDT

BTC flat, with **AVAX**, **XRP**, **COIN**, **MARA** and **BLOK** all **NEUTRAL** — a broadly signal-less tape. The **CLARITY Act failed**, raising the “now what” question for crypto regulation, alongside a note on **HOOD insider** activity.